AGLC
Choices Albertans can trust.

St. Albert Office
50 Corriveau Avenue, St. Albert, Alberta, T8N 3T5

Phone: 780-447-8600
Fax: 780-447-8989
Toll Free: 1-800-272-8876

NOTICE OF ADMINISTRATIVE SANCTION

File: 2025-027529

February 19, 2026

Freedom Cannabis Inc.
9827 279 Street
Acheson, Alberta T7X 6J4

Attention: Tim Latimer

The Regulatory Services Division has reviewed an Incident Report concerning Freedom Cannabis Inc.

Based upon our review of information provided in the Incident Report, the licensee history and penalty guidelines, the following administrative sanction(s) are imposed:

Contravention 1: Section 100 of the Gaming, Liquor & Cannabis Act (GLCA)

"Every licensee or registrant must, when required in writing by the Commission, provide the Commission with reports and information specified by the Commission for the purpose of determining if this Act and the conditions imposed on the licensee's licence or registrant's registration are being complied with."

Administrative Sanction: A fine of $750.00 for one contravention of the Gaming, Liquor & Cannabis Act. If the fine is accepted, it is to be paid to the AGLC by 4:00 p.m. March 23, 2026.

Payments can be made in person or via mail at one of our offices. Payment in full can also be made via e-transfer to Payment@aglc.ca; no security question or answer is required. Please make sure the name of the premises, licence number, organization ID number and/or case file number is provided on the e-transfer so the payment can be applied correctly. If not, you may have to provide proof of payment.

.../2

The Incident Report relating to this matter should be reviewed in detail and will now form part of your permanent record.

The Administrative Sanction Guideline can be found at https://aglc.ca/forms/administrative-sanction-guideline-violations.

You are to review this package then indicate on the attached Response to Notice of Administrative Sanction form your decision to either accept the imposed administrative sanction(s) **OR** proceed with a hearing. The form must be signed and returned within thirty (30) calendar days from the receipt of this letter to the Vice President, Regulatory Services Division.

In accordance with section 94(1) of the *Gaming, Liquor and Cannabis Act*, you have the right to request a hearing before the Panel of the AGLC Board. If you wish to proceed with a hearing before a Panel of the AGLC Board, you must contact the Hearing Panel Office (contact information below) within thirty (30) calendar days from the receipt of this letter to apply for a hearing.

Hearing Panel Office
50 Corriveau Avenue
St. Albert, AB T8N 3T5
Phone: 780-447-8605 Email: hearings@aglc.ca

Stephen Kiss

Stephen Kiss, CPA, CMA, CFE
Director, Audit Services

Enclosure:
Incident Report
Response to Notice of Administrative Sanction
Copy of Handbook Section

INCIDENT REPORT

Case File No. 2025-027529

Date:	February 17, 2026
Name:	Freedom Cannabis Inc.
Address:	9827 279 Street Acheson, Alberta T7X 6J4
Approved Contact:	Tim LATIMER - Shareholder
Corporate Stakeholder No.:	799441

Contravention:

1. Failure to provide reports and information specified by the AGLC per s. 100 *Gaming, Liquor & Cannabis Act* (GLCA)

   s. 100 GLCA - *Every licensee or registrant must, when required in writing by the Commission, provide the Commission with reports and information specified by the Commission for the purpose of determining if this Act and the conditions imposed on the licensee's licence or registrant's registration are being complied with.*

Summary:

- On September 10, 2025, a meeting was held with Samantha Frampton, CFO of Freedom Cannabis Inc., advising that the Due Diligence finding of suitability related to the eligibility for the Cannabis Representative registration 301320 was expiring November 29, 2025. A follow-up email was sent, and disclosure documents were requested to be submitted by September 17, 2025, to allow adequate time to conduct the renewal investigation (refer to the GLCA section 100, Attachment 1 for a list of requested documents).
- On October 3, 2025, documents remained outstanding. A voicemail was left for Samantha Frampton, and a follow-up email was sent with a deadline of October 10, 2025.
- On October 7, 2025, a reply was received from Samantha Frampton with questions regarding the request for information, and Due Diligence investigators provided clarification.
- On October 16, 2025, a GLCA section 100 letter was issued to Freedom Cannabis Inc. due to failure to provide necessary documents to complete the Due Diligence investigation regarding the information that was due October 10, 2025. The deadline for submission of documents as per GLCA section 100 dated October 16, 2025, was extended to October 30, 2025.
- On October 30, 2025, the requested documents remained outstanding.
- On November 7, 2025, a final deadline of November 10, 2025, was provided indicating that if the deadline was missed, an administrative sanction would be levied on Freedom Cannabis Inc.
- On November 13, 2025, some of the requested information was received, however not all the information, and the disclosure form submitted for Freedom Cannabis Inc. was incorrect.
- On November 17, 2025, the correct disclosure form was provided for Freedom Cannabis Inc.
- On November 17, 2025, the finding of suitability for Freedom Cannabis Inc. was extended by 3 months, to now expire February 28, 2026, to allow adequate time to complete the renewal investigation.

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- On January 9, 2026, an email was sent to Samantha Frampton requesting the remaining outstanding information with a deadline of January 23, 2026. The following items were requested:
    1. Updated Corporate Registries (CORES) to match post-CCAA ownership and directors.
    2. Current internal financial statements.
    3. Current org chart with updated titles for key individuals.
    4. Securities register, consistent with Alberta *Business Corporations Act* requirements, for associated company 2643323 Alberta Ltd.
    5. Securities register, consistent with Alberta *Business Corporations Act* requirements, for associated company JL Legacy Ltd.
- On January 14, 2026, Due Diligence received a response from Samantha Frampton with item 4 and follow-up questions. Clarification was provided.
- On January 15, 2026, during a meeting with Tim Latimer, Director of Freedom Cannabis Inc., the outstanding information was discussed and Tim Latimer confirmed he was aware of the request for information and the January 23, 2026, deadline.
- On January 23, 2026, the required documents remained outstanding.
- On January 29, 2026, a voice mail was left with Samantha Frampton, and a follow-up email requesting the remaining outstanding information was sent to Samantha Frampton and Tim Latimer with a final deadline of February 11, 2026.
- On January 29, 2026, items 1. and 5. noted above were received.
- On February 11, 2026, an email was received from Tim Latimer indicating that "I have now cycled this back to Samantha Frampton and L. Lapada, to see if they can answer your question, or if not, what the timeline might be to get the answers for it".
- On February 12, 2026, items 2 and 3 remained outstanding.
- On February 17, 2026, a second GLCA, Section 100 letter was issued.

Attachments:

1. Section 100 letter dated October 16, 2025
2. Section 100 letter dated February 17, 2026

K Aleong _____ Date: February 17, 2026

Karen ALEONG/Financial Investigator

C. Wilson _____ Date: February 17, 2026

Candace WILSON/Manager

Slupul _____ Date: February 19, 2026

Sharla LUPUL/Senior Manager

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Decision:

Administrative Sanction:

A $750 fine to Freedom Cannabis Inc. for a contravention of s. 100 GLCA.

Date of Decision: Feb 19, 2026

Stephen Kiss

Stephen Kiss, Director, Audit Services

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Attachment 1

50 Corriveau Avenue
St. Albert, Alberta T8N 3T5
Phone: 1-825-480-4755
Fax: 780-447-8989
Toll Free: 1-800-272-8876

October 16, 2025

File Reference: 2024-005816

Freedom Cannabis Inc.
9827 279 Street,
Acheson, AB
T7X 6J7

Sent via Email

Dear Samantha Frampton:

Re: Due Diligence Investigation

In emails from Alberta Gaming Liquor and Cannabis (AGLC) dated September 10, 2025, October 3, 2025, and October 9, 2025, you were requested to provide additional information to establish and evaluate the eligibility for Freedom Cannabis Inc. to continue to hold a Cannabis Representative registration. Though considerable effort by the Due Diligence Unit to assist you in this request has been provided, to date we have yet to receive all the documentation required to facilitate our investigation.

Be advised that Freedom Cannabis Inc.'s current finding of suitability term expires November 29, 2025. For Due Diligence to continue the background investigation to determine whether Freedom Cannabis Inc.'s finding of suitability can be extended the condition is that all outstanding information, as outlined in Attachment 1, be received prior to October 30, 2025. Failure to do so will be considered non-compliant with section 100 of the *Gaming, Liquor and Cannabis Act* (GLCA) and you may be subject to an administrative sanction and/or pausing of SKUs and open purchase orders.

Section 100 of the GLCA reads as follows:

> *Every licensee or registrant must, when required in writing by the Commission, provide the Commission with reports and information specified by the Commission for the purposes of determining if this Act and the conditions imposed on the licensee's licence or registrant's registration are being complied with.*

Please act accordingly. If you have any questions, I can be contacted at 1-825-480-4755, or alternatively, please contact Investigator neil.zurawell@aglc.ca or karen.aleong@aglc.ca.

Sincerely,

C. Wilson

Candace Wilson
Manager, Due Diligence
Audit Services Branch

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Outstanding information to be received by October 30, 2025:

1. Freedom Cannabis Inc.
   - Application for Background Investigation (Form 5675)
   - Please ensure that a securities register for each class of security is attached and that all securities register(s) meet Alberta's requirements (link to: Business Corporations Act):

     49(1) A corporation shall maintain a securities register in which it records the securities issued by it in registered form, showing with respect to each class or series of securities
     - *the name and current contact information of each person who is or has been a security holder,*
     - *the number of securities held by each security holder, and*
     - *the date and particulars of the issue and transfer of each security.*
   - Copy of current facility lease agreement

2. 2644323 Alberta Ltd
   - Securities register(s) that meet Alberta's requirements, for each security class

3. JL Legacy Ltd
   - Securities register(s) that meet Alberta's requirements, for each security class
   - 2024 financial statements or, if not available, targeted completion date
   - Income tax Notice of Assessment/Re-assessment (or similar proof of filing document) for the last fiscal year.

4. Personal Disclosure (form 5676) for the following individuals:
   - Tim LATIMER
   - John Frank & Julie POTESTIO (Joint submission acceptable)
   - Rico POTESTIO
   - Greg KRISHKE
   - David MAJESKI

50 Corriveau Avenue
St. Albert, Alberta T8N 3T5
Phone: 1-825-480-4755
Fax: 780-447-8989
Toll Free: 1-800-272-8876

February 17, 2026

File Reference: 2024-005816

Freedom Cannabis Inc.
9827 279 Street,
Acheson, AB
T7X 6J7

Sent via Email

Dear Samantha Frampton:

Re: Due Diligence Investigation

In multiple emails or phone calls from Alberta Gaming Liquor and Cannabis (AGLC), Freedom Cannabis Inc. was requested to provide additional information to establish and evaluate your eligibility to continue to hold a Cannabis Representative registration. Though considerable effort by the Due Diligence Unit to assist Freedom Cannabis Inc. in this request has been provided, to date we have yet to receive all the documentation required to complete our background check.

The following documents have been requested and remain outstanding:

- Current organizational chart
- 2025 Internal financial statements – results to October 31, 2025

Be advised that the current finding of suitability term expires February 28, 2026. **Therefore, all outstanding documents must be received prior to February 25, 2026.** Failure to do so will be considered non-compliant with section 100 of the *Gaming, Liquor and Cannabis Act* (GLCA) and you may be subject to additional administrative sanctions.

Section 100 of the GLCA reads as follows:

> *Every licensee or registrant must, when required in writing by the Commission, provide the Commission with reports and information specified by the Commission for the purposes of determining if this Act and the conditions imposed on the licensee's licence or registrant's registration are being complied with.*

Please act accordingly. If you have any questions, I can be contacted at 1-825-480-4755, or alternatively, please contact Investigator neil.zurawell@aglc.ca or karen.aleong@aglc.ca.

Sincerely,

C. Wilson

Candace Wilson
Manager, Due Diligence
Audit Services Branch

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Alberta Gaming, Liquor and Cannabis
Response to Notice of Administrative Sanction

Licensee/Registrant: Freedom Cannabis Inc.
Premises Name:
Address: 9827 279 Street
Acheson, Alberta T7X 6J4
Date of Incident: Date of Incident Report: February 17, 2026
Licence/Registration/ID No.: 799441

I confirm that:

1. I have been provided with a copy of the Incident Report.

2. I have read and understand the contents of the Incident Report.

3. I have read and understand the contents of the Notice of Administrative Sanction setting out the sanction imposed by the Regulatory Services Division.

I choose the following option **(CHOOSE ONE OPTION ONLY)**:

☐ **OPTION 1a** **Liquor and cannabis licensees only**
I admit the facts in the Incident Report and waive the right to a hearing and I choose the following sanction:
☐ Fine (refer to the Notice of Administrative Sanction for payment options)
☐ Suspension

☐ **OPTION 1b** **All other licensees, registrants, and charitable organizations**
I admit the facts in the Incident Report and waive the right to a hearing and I accept the sanction(s) detailed in the Notice of Administrative Sanction. Refer to the Notice of Administrative Sanction for payment options, if applicable.

☐ **OPTION 2** I do not waive the right to a hearing.

If you wish to proceed with a hearing before a Panel of the Board of AGLC, refer to instructions outlined in the Notice of Administrative Sanction letter or contact the Hearing Panel Office at 780-447-8605 or hearings@aglc.ca

By signing below, I confirm that I am authorized to act on behalf of the above noted licensee.

Name:_____ Signature:_____ Date:_____

NOTE:
- Return this form to the Regulatory Services Division within thirty (30) calendar days from the receipt date of the Notice of Administrative Sanction.
- Failure to return this form will result in the imposition of the sanctions set out in the Notice of Administrative Sanction.

Vice President, Regulatory Services Division
50 Corriveau Avenue
St. Albert, Alberta T8N 3T5
Phone: 780-447-8732 Fax: 780-447-7505 Email: admin.sanctions@aglc.ca

Revocation of appointment

97.8 The Court may at any time revoke an appointment made under section 97.1 and appoint another receiver and manager.

2002 c15 s27

Expenses constitute a debt to Commission

97.9 If the Commission expends money in respect of the appointment under this Act of a receiver and manager, the amount expended

(a) is a debt owing by the facility licensee to the Commission, and

(b) may be recovered by the Commission in the same manner as any other debt owing to the Commission.

2002 c15 s27

Act not to apply

97.91 Part 8 of the *Business Corporations Act* does not apply in respect of a receiver and manager appointed under section 97.1.

2002 c15 s27

Part 5
Enforcement

Inspections, Search and Seizure

Inspectors

98(1) The Commission may, in writing, designate any employee of the Commission or any other person as an inspector.

(2) Every police officer as defined in the *Police Act* is an inspector for the purposes of this Act.

1996 cG-0.5 s95

Obstruction of inspector

99 No person may hinder, obstruct or impede an inspector in the performance of the inspector's duties or in the exercise of the inspector's powers.

1996 cG-0.5 s96

Reports

100 Every licensee or registrant must, when required in writing by the Commission, provide the Commission with reports and information specified by the Commission for the purposes of determining if this Act and the conditions imposed on the licensee's licence or registrant's registration are being complied with.

1996 cG-0.5 s97